

Dell Technologies (DELL US)

Margin Beat, but Concerns amid High Expectations

Maintained **Hold**
Target price \$ 497

Maintain Hold with TP of \$497: Despite high expectations, Dell still delivered another beat-and-raise quarter driven by margin beat, on better mix/pricing/scale and stronger storage server sales. Accordingly, with disciplined OPEX, mgmt. raised its FY27E EPS guidance to \$25.5, exceeding buy-side estimates of ~\$23. That said, while we view this uplift a positive besides solid adjusted FCF and return program, we remain mindful of: 1) continued supply constraint (especially memory) into next year; 2) enterprise momentum might normalize; 3) PC sell-through downside risk; 4) share pressure on SpaceX and CoreWeave. As such, given the stock's >5x P/E premium to peers and a likely margin peak this quarter as its AI server sales are going to surge on Rubin cycle, we maintain our Hold rating for the stock. By factoring in higher ISG margin and lower OPEX, we revise up our EPS estimates by +19%/+23% in FY27E/FY28E, respectively. Our TP of \$497 is based on 17x FY28E EPS.

Results and Guidance on Margin Surprise: F2Q revenue of \$47bn, +7% QoQ, a bit higher than the expectations. GM came in at 21.1%, driven by ISG strength on better mix and storage sales beat. In addition, with discipline OPEX, OPM came in at 12.6%, up 2.9 pts QoQ. EPS of \$7.04. For F3Q, it guided sales to be \$49bn at the mid-point with EPS to \$6.50, inline with our forecasts. OPM-wise, ISG is projected at down QoQ/up YoY and CSG at 6% to balance share/profitability. For FY27E, mgmt. guided up: 1) Revenue of \$192bn (from \$167bn); 2) ISG up ~120% (from ~80%); 3) Traditional servers up just over 100%; 4) CSG up mid-teens (from low teens); 5) OP up ~120%; 6) Non-GAAP EPS of \$25.50 (up from \$17.90).

Storage and Neoclouds Traction, yet Supply Constraint Persists: During the quarter, storage server revenue reached \$4.8bn, higher than expectations of \$4.2-4.3bn, driven by strong demand for Dell's IP, which drove sales growth and margin expansion for ISG. Looking forward, it is expected to return to seasonality for the FY2H27E, despite like-for-like margin improvement (e.g., PowerStore) to support profitability. On the other hand, per our preview report on Aug 28, we expect tier-2 neoclouds (Crusoe, IREN, Nscale, etc.) to fuel AI orders for Dell, which was reflected in record AI orders of \$60.9bn and backlog of \$95bn. Beyond GPU systems, mgmt. also mentioned the incremental CPU server demand from neoclouds' agentic AI workloads. However, we expect the supply tightness (mainly on DDR5 RDIMM) to persist into 2H and next year, which may cap the traditional server upside ahead.

Risks: 1) AI demand slows down; 2) Components supply constraint; 3) Competition.

Profit forecast

	FY25	FY26	FY27E	FY28E	FY29E
Revenue (m)	95,567	113,538	206,678	274,881	311,826
Revenue YoY (%)	8.1	18.8	82.0	33.0	13.4
Net profit (m)	5,863	7,046	16,996	18,920	20,775
Net profit YoY (%)	8.1	20.2	141.2	11.3	9.8
EPS (\$)	8.1	10.3	26.1	29.2	32.4
P/E	56.9	44.6	17.6	15.7	14.2
ROE (%)	N/A	N/A	1561.6	562.1	282.7

Source: Company data, GF Securities (Hong Kong) Brokerage

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Earnings Forecast

F2Q27 results beat on margin

F2Q (Jul-Q) revenue of \$47bn, +7% QoQ and +58% YoY, a bit higher than guidance and consensus. GM came in at 21.1%, up 3ppts QoQ, driven by ISG strength for higher than expected storage sales, better mix, and price discipline amid strong demand. With flattish OPEX QoQ, OPM was 12.6%, up 290bps, with EPS of \$7.04 ahead of streets' estimates.

ISG Revenues of \$31.8bn, +89% YoY, vs Street of \$29.6bn and ISG operating margins of 15% vs. Street 11%, primarily driven by better scale and price discipline, with storage traction on Dell IP.

CSG Revenues of \$15bn, +20% YoY, vs. Street \$15bn and CSG operating margins of 7.6% vs. Street of 6.1%, due to higher pricing amid sustained commercial refresh.

FY27E guidance a strong beat on EPS

For F3Q27E (Jan-Q), it guided sales to be \$49.0bn at mid-point, +80% YoY supported by \$16.4bn AI server shipment expected in the quarter. EPS guidance of \$6.50 at the midpoint, +150% YoY, higher than the consensus but inline with our estimates.

For FY27E, the mgmt. revised up the guidance: 1) Revenue to between \$192bn at the midpoint, +70% YoY (from \$167bn); 2) ISG to grow ~120% (from ~80%); 3) Traditional servers to grow just over 100% (from over 60%); 4) CSG to grow mid-teens (from low-teens); 5) Operating profit to grow over 120%; 6) Diluted non-GAAP EPS to be \$25.50, plus or minus \$0.25, +150% YoY at the midpoint (up from \$17.90).

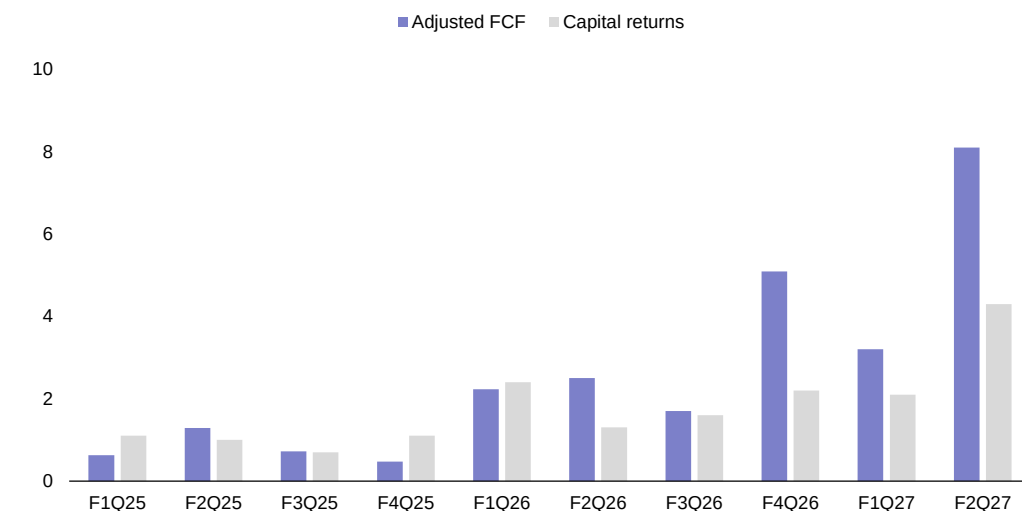
AI server booking increased \$60.9bn with shipment of \$16.4bn in F2Q, leading to the backlog of \$95bn exiting the quarter. The mgmt. also guided up AI servers to \$74bn in FY27E, which is inline with our previous estimates.

Figure 1: Dell's F2Q27 results review

USD mn	F2Q27	F1Q27	QoQ	F2Q26	YoY	GFHK	Diff	Consensus	Diff
Sales	46,971	43,842	7%	29,776	58%	42,230	11%	44,783	5%
Gross Profit	9,929	7,947	25%	5,572	78%	7,722	29%	7,792	27%
OPEX	4,000	3,712	8%	3,288	22%	3,695	8%	3,616	11%
Operating Profit	5,929	4,235	40%	2,284	160%	4,027	47%	4,176	42%
Pretax Profit	5,598	3,891	44%	1,940	189%	3,736	50%	3,860	45%
Net Income	4,591	3,190	44%	1,591	189%	3,063	50%	3,164	45%
Diluted EPS (\$)	7.04	4.86	45%	2.32	204%	4.70	50%	4.99	41%
			ppt		ppt		ppt		ppt
GM	21.1%	18.1%	3.0	18.7%	2.4	18.3%	2.9	17.4%	3.7
OPM	12.6%	9.7%	3.0	7.7%	5.0	9.5%	3.1	9.3%	3.3
Pretax Margin	11.9%	8.9%	3.0	6.5%	5.4	8.8%	3.1	8.6%	3.3
Net Margin	9.8%	7.3%	2.5	5.3%	4.4	7.3%	2.5	7.1%	2.7

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Dell's FCF and capital returns (USD bn)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

By factoring in guidance, higher ISG margin, and lower OPEX ratio, we revise up our EPS estimates by +19%/+23% in FY27E/FY28E.

Figure 3: Earnings revision

USD m	FY26	FY27E		FY28E		Change (%)	
		Old	New	Old	New	FY27E	FY28E
Net sales	113,538	200,652	206,678	263,549	274,881	3%	4%
Gross profit	23,159	34,088	37,924	36,524	41,380	11%	13%
Operating profit	9,991	18,891	22,202	20,124	24,674	18%	23%
Pre-tax Income	8,593	17,474	20,727	18,760	23,074	19%	23%
Net profit	7,046	14,328	16,996	15,383	18,920	19%	23%
Diluted EPS (\$)	10.29	21.99	26.07	23.79	29.24	19%	23%
Key ratios (%)							
Gross margin	20.4%	17.0%	18.3%	13.9%	15.1%		
Operating margin	8.8%	9.4%	10.7%	7.6%	9.0%		
Pre-tax margin	7.6%	8.7%	10.0%	7.1%	8.4%		
Net profit margin	6.2%	7.1%	8.2%	5.8%	6.9%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 4: Dell's P&L forecast

(USD m)	FY26	F1Q27	F2Q27	F3Q27E	F4Q27E	FY27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E	FY28E
Sales	113,538	43,842	46,971	55,351	60,514	206,678	58,391	71,842	73,227	71,421	274,881
COGS	90,379	35,895	37,042	45,438	50,380	168,755	48,909	61,223	62,480	60,889	233,501
Gross profit	23,159	7,947	9,929	9,913	10,135	37,924	9,483	10,618	10,747	10,532	41,380
Opex	13,168	3,712	4,000	3,955	4,055	15,722	4,014	4,264	4,264	4,164	16,706
Operating profit	9,991	4,235	5,929	5,958	6,080	22,202	5,469	6,354	6,483	6,368	24,674
Non-op profit	-1,398	-344	-331	-400	-400	-1,475	-400	-400	-400	-400	-1,600
Pre-tax profit	8,593	3,891	5,598	5,558	5,680	20,727	5,069	5,954	6,083	5,968	23,074
Income tax	1,547	701	1,007	1,000	1,022	3,731	912	1,072	1,095	1,074	4,153
Net Income	7,046	3,190	4,591	4,557	4,657	16,996	4,156	4,883	4,988	4,894	18,920
Diluted EPS (\$)	10.3	4.9	7.0	7.0	7.2	26.1	6.4	7.5	7.7	7.6	29.2
Diluted shares	685	656	652	651	649	652	650	648	646	644	647
Margin analysis											
Gross margin	20.4%	18.1%	21.1%	17.9%	16.7%	18.3%	16.2%	14.8%	14.7%	14.7%	15.1%
Operating margin	8.8%	9.7%	12.6%	10.8%	10.0%	10.7%	9.4%	8.8%	8.9%	8.9%	9.0%
Pre-tax margin	7.6%	8.9%	11.9%	10.0%	9.4%	10.0%	8.7%	8.3%	8.3%	8.4%	8.4%
Effective tax rate	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Growth (YoY%)											
Sales	19%	88%	58%	105%	81%	82%	33%	53%	32%	18%	33%
Operating profit	17%	154%	160%	138%	72%	122%	29%	7%	9%	5%	11%
Net income	20%	194%	189%	159%	79%	141%	30%	6%	9%	5%	11%
EPS	26%	214%	204%	170%	84%	153%	31%	7%	10%	6%	12%
Product mix (%)											
ISG	54%	66%	68%	75%	80%	73%	79%	80%	80%	81%	80%
CSG	45%	33%	32%	24%	20%	27%	20%	20%	20%	19%	20%
Others	2%	1%	0%	0%	0%	0%	0%	0%	0%	0%	0%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

Maintain Hold with TP of \$497

We retain Hold rating for Dell (DELL US) and set our TP at \$497, which is based on 17x our FY28E (CY2027) EPS estimate. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook.

Dell's P/E traded at an average of 9.6x since 2022 and broke up to a new range of 10-22x since 1Q24, due to the breakthrough in AI business. Our target price is based on 17x FY28E P/E, which is close to the upper end with this AI cycle, due to strengthened server visibility and improving margin profile.

On relative basis, the peer group trades at an average of 15x-20x now, largely due to re-rating for Hardware companies amid secular Agentic AI trend. Our 17x multiple reflects Dell is capitalizing an expanding AI infrastructure build-up, with improved margin profile and earnings visibility.

Figure 5: Dell's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI demand slows down; 2) Components supply constraint; 3) Competition.

Balance Sheet						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Current assets	36,229	57,602	100,328	133,212	152,860	
Cash and cash equivalents	3,633	11,528	15,969	19,968	24,032	
Inventory	6,716	10,437	19,488	26,965	30,953	
Accounts Receivable	10,298	17,585	32,011	42,574	48,296	
Other current assets	15,582	18,052	32,861	43,705	49,579	
Non-current assets	43,517	43,684	44,014	44,627	44,840	
Long-term equity investment	7,423	7,552	7,552	7,552	7,552	
Fixed assets	6,336	6,676	7,006	7,619	7,832	
Other long-term assets	29,758	29,456	29,456	29,456	29,456	
Total assets	79,746	101,286	144,342	177,839	197,701	
Current liabilities	46,527	63,269	108,309	143,915	162,791	
Accounts Payable	20,832	33,630	62,794	86,886	99,735	
Short-term borrowings	5,204	7,990	6,107	4,616	3,598	
Other current liabilities	20,491	21,649	39,409	52,413	59,458	
Non-current liabilities	34,606	40,487	34,945	30,558	27,562	
Long-term Debt	19,363	23,513	17,971	13,584	10,588	
Other non-current liabilities	15,243	16,974	16,974	16,974	16,974	
Total liabilities	81,133	103,756	143,253	174,473	190,353	
Total Equity	-1,387	-2,470	1,088	3,366	7,348	
Share Capital	9,119	9,457	9,457	9,457	9,457	
Additional Paid-in Capital	-8,502	-14,533	-14,533	-14,533	-14,533	
Retained earnings	-2,099	2,606	6,164	8,442	12,424	
Minority interests	95	-	-	-	-	
Total Liabilities & Equity	79,746	101,286	144,342	177,839	197,701	

Income Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Revenue	95,567	113,538	206,678	274,881	311,826	
Cost of sales	73,757	90,379	168,755	233,501	268,034	
Gross profit	21,810	23,159	37,924	41,380	43,792	
Operating Expense	13,281	13,168	15,722	16,706	16,856	
Operating profit	8,529	9,991	22,202	24,674	26,936	
Interest Income	-	-	-	-	-	
Interest Expense	1,376	1,398	1,606	1,600	1,600	
Net other Non-op. Income/(Loss)	-	-	131	-	-	
Pre-tax profit	7,153	8,593	20,727	23,074	25,336	
Income tax	1,290	1,547	3,731	4,153	4,560	
Profit for the year	5,863	7,046	16,996	18,920	20,775	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	5,863	7,046	16,996	18,920	20,775	
EPS (\$)	8.1	10.3	26.1	29.2	32.4	

Cash Flow Statement						USD mn
	FY25	FY26	FY27E	FY28E	FY29E	
Operating cash flow	4,521	11,185	28,304	30,520	29,872	
Profit for the year	5,863	7,046	16,996	18,920	20,775	
Depreciation & amortization	3,123	3,029	2,670	3,387	4,787	
Change in working capital	-	-	8,638	8,213	4,310	
Others	-4,465	1,110	-	-	-	
Investing cash flow	-2,215	-2,055	-3,000	-4,000	-5,000	
Capex	-3,027	-3,369	-3,000	-4,000	-5,000	
Change in investment	-230	-129	-	-	-	
Others	1,042	1,443	-	-	-	
Free cash flow	2,306	9,130	25,304	26,520	24,872	
Financing cash flow	-5,815	-1,464	-20,863	-22,520	-20,808	
Change in Capital	-5,118	-8,129	-13,437	-16,643	-16,793	
Net Change in Debt	-1,427	6,936	-7,426	-5,877	-4,015	
Others	730	-271	-	-	-	
Exchange influence	-179	221	-	-	-	
Net increase in cash	-3,509	7,666	4,441	4,000	4,064	

Key Financial Ratios					
	FY25	FY26	FY27E	FY28E	FY29E
Growth (%)					
Revenue growth	8.1	18.8	82.0	33.0	13.4
Operating profit growth	8.3	17.1	122.2	11.1	9.2
Net profit growth	8.1	20.2	141.2	11.3	9.8
Profitability (%)					
Gross profit margin	22.8	20.4	18.3	15.1	14.0
Operating Profit Margin	8.9	8.8	10.7	9.0	8.6
Net profit margin	6.1	6.2	8.2	6.9	6.7
Key Ratio (%)					
ROA	7.2	7.8	13.8	11.7	11.1
ROE	N/A	N/A	1561.6	562.1	282.7
Stability					
Gross debt/equity	-1,771	-1,275	2,212	541	193
Interest Coverage	6.2	7.1	13.9	15.4	16.8
Current Ratio	0.8	0.9	0.9	0.9	0.9
Quick Ratio	0.6	0.7	0.7	0.7	0.7
Net debt/equity	-1,509	-809	745.0	Net cash	Net cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
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	Cautious	Sector expected to underperform benchmark by more than 10%

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